



Crafting Perfection

Allied Blenders and Distillers Limited (ABD) is the largest Indian and independent IMFL organisation in annual sales volumes between Fiscal 2014 and Fiscal 2021. Three of the company's brands, namely Officer's Choice Whisky, Officer's Choice Blue Whisky and Sterling Reserve Premium Whiskies have the distinction of being 'millionaire brands' i.e., selling millions of 9 Litre cases of spirits. Kishore Rajaram Chhabria, the man behind building the world's third largest whisky brand with the launch of Officer's Choice in 1988, and Allied Blenders and Distillers (ABD) Limited as a major liquor company to reckon with, has passed the baton to a professional executive team. ABD has transformed from a single brand company to a multi-product and multi-brand company.

ABD's brand portfolio now includes 10 brands of IMFL with five brands of whisky, two brands each of rum and brandy and one brand of vodka. Talking about ABD's phenomenal success, Shekhar Ramamurthy, Executive Deputy Chairman, ABD, who was formerly Managing Director at United Breweries Limited, points out that ABD's approach to keeping the consumer first is at the core of organisation thinking.

Adding to this, Bikram Basu, Vice President-Marketing, Strategy and Business Development, who joined ABD after an initial six years with United Spirits, and thereafter 14 years with Pernod Ricard India says, "ABD has and will stay invested in the mass-premium segment while building a premium portfolio. We understand that consumers aspire at every economic level, and we strive to give great brands of good and consistent quality."

As of 31 March 2021, ABD's products are retailed through 64,001 outlets across India. ABD has also emerged as a leading exporter of IMFL in terms of annual sales volumes between Fiscal 2019 to Fiscal 2021 with an estimated peak share of 20 per cent in Fiscal 2021. Its products are exported to 22 countries, including United Arab Emirates, Haiti, Oman, Nigeria, and Kenya, with Officer's Choice Whisky being one of the largest exported brands in 2021.

Growth drivers

The IMFL market is estimated to have recovered to 355 million cases in Fiscal 2022 and the sales volume is projected to reach 425 million cases by Fiscal 2025. IMFL sales by value are estimated at INR 1,74,000 crore in Fiscal 2022 and projected to reach INR

2,40,000 crore by Fiscal 2025 with a CAGR of 11.3 per cent and sales volume is expected to grow at a CAGR of 6.2 per cent.

Elaborating on the phenomenal growth of the alcohol market in India, Ramamurthy says, "There has been a sharp increase in the workforce, along with changing lifestyles and dismantling of social barriers to make alcohol consumption more acceptable. At the same time, there has been greater social acceptance for drinking among women coupled with Tier II and Tier III towns as well. This is expected to open newer, profitable consumer segments. Rapid increase in urban population, a sizable middle-class population with rising disposable income, and a growing economy are driving the consumption of alcohol in India. In addition, 10 million to 12 million people are expected to enter the legal alcohol drinking age each year.

"Going by the change in consumption patterns and our extensive portfolio of offerings across the mass premium segment, we believe, we are well positioned to capitalise on the shift towards premiumisation of consumption," Ramamurthy adds.